Abbott

Investment Recommendation of $121.61 (32.5% Upside)

By Dylan Frith

3/5/25

Table of Contents

1) Company

2) Investment Thesis

3) Financial Statement Modeling

4) Valuations

5) Risk / Mitigations

6) Recommendation

Company Overview

Business Description

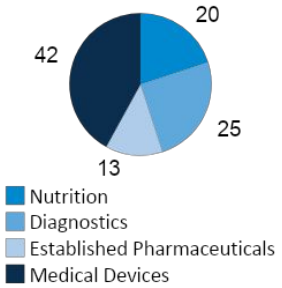
Abbott Laboratories (NYSE: ABT): Is a healthcare company that discovers, manufactures, and sells a broad and diversified line of health care products and services in 160 countries.

The company's products include pharmaceuticals, nutritional, diagnostics, and vascular products. Abbott markets its products worldwide through affiliates.

Abbott Laboratories main competition includes:

- Johnson and Johnson
- Boston Scientific
- Medtronic

Revenue By Segment

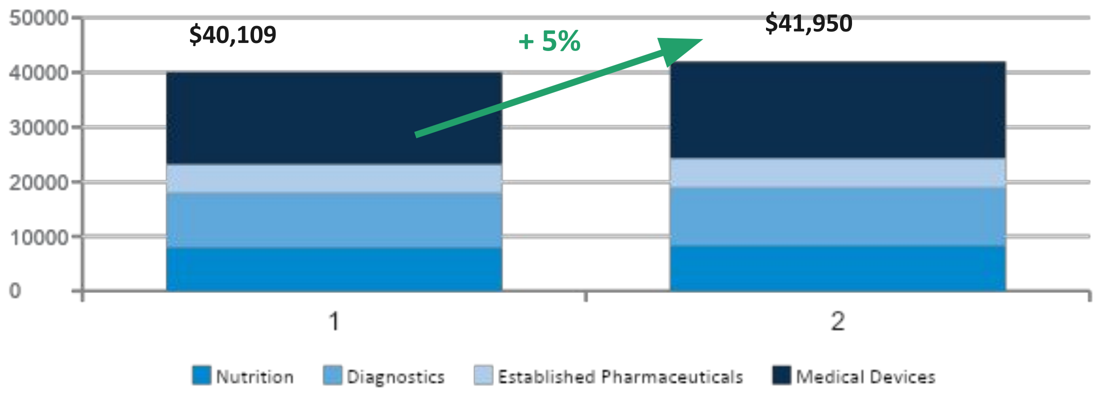


Financial Overview

Trading Statistics	
Share price as of 3/5/2024	$137.79
$99.71 - $140.84	52 Week Range
YTD Change	23.97%
Mkt Cap	243.2B
Dividend Yield	1.71%

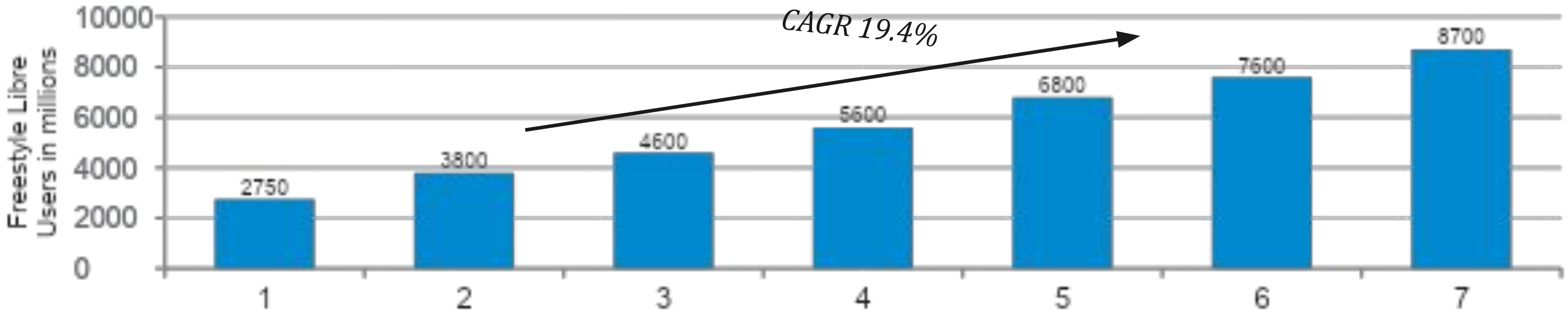
Financial Results	2024	2023
Organic Sales Growth	7.1%	-6.20%
Diabetes Revenue	6,805	5,761
Diagnostics Revenue	585	565

Revenue Growth



In $US mm

Investment Thesis



The healthcare market is experiencing strong demand for Libre devices, leading growth back to pre-pandemic levels, headed for continued growth in a large addressable market.

Libre (CGM) Performance

- Libre Continuous Glucose Monitor (CGM) sales surged 22.8% in 2024
- Demand for Libre products is growing at a 19.4% CAGR
- Abbott built the highest-producing automated facility for Libre products during Q4 2024

Strong Financial Performance

- In Q4 2024, Abbott reported a 7.2% increase in sales, totaling $10.97 billion
- Gross margin finished 2024 at 56.2%, 340 bps below the pre-pandemic peak of 59.6%
- Organic growth sales (ex-Covid tests) grew 10.1%

Opportunities for Expansion

- Under-penetration in the intensive insulin-using segment (~25% of U.S., ~50% intl. not on CGM)
- Partnerships / integrate Bigfoot Biomedical insulin delivery with CGM
- OTC non-diabetes push with Lingo launch in the US
- First clinical trial for VOLT Pulsed-Field Ablation (PFA) system

Investment Thesis

Abbott

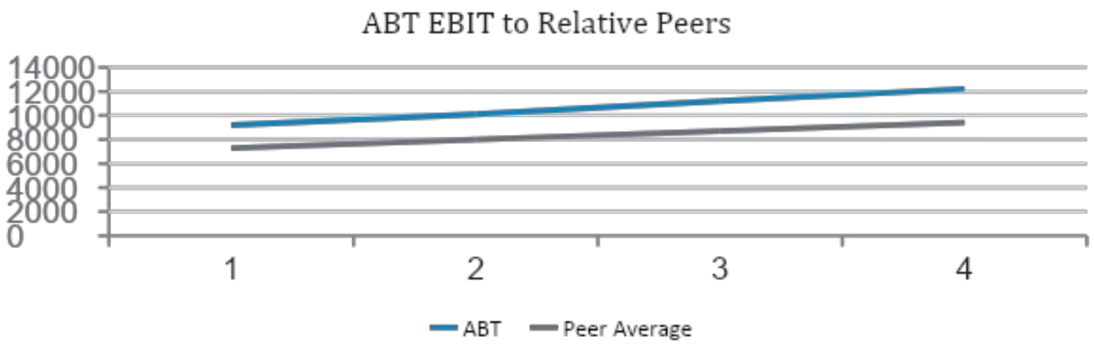
Despite headwinds from competition, Abbott has been able to put up strong financials and earnings.

Abbott's Recent Performance

- ABT's share price rose 11.6% on stronger demand for CGM offerings & 10.1% organic sales growth
- Adj. diluted EPS of $1.34, meeting analyst expectations
- FY 2024 gross margin improved 60 bps on an adjusted basis
- FY 2024 continuous glucose monitor sales surged 22.8%

Earnings Relative to Peers

Note: Historically, ABT's EBIT has slightly outperformed the peer group.



Financial Statement Model

Abbott

	Historicals				Forecast				
	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E
Revenue	**43075**	**43653**	**40109**	**41950**	**44887**	**46682**	**48549**	**50006**	**51006**
YoY growth		1%	-8%	5%	7%	4%	4%	3%	2%
EBITDA	**13149**	**12895**	**10519**	**10584**	**12568**	**12604**	**13108**	**13502**	**13772**
% margin	31%	30%	26%	25%	28%	27%	27%	27%	27%
Depreciation and Amortization	3538	3267	3243	3247	3591	3828	4078	4200	4080
D&A/Sales	8%	7%	8%	8%	8%	8%	8%	8%	8%
EBIT	**9611**	**9628**	**7276**	**7337**	**8977**	**8776**	**9030**	**9301**	**9691**
% margin	22%	22%	18%	17%	18%	19%	20%	21%	21%
Tax on EBIT	1140	1373	941	952	1347	1316	1355	1395	1454
Tax Rate	12%	14%	13%	13%	15%	15%	15%	15%	15%
EBIAT	**8471**	**8255**	**6335**	**6385**	**7631**	**7460**	**7676**	**7906**	**8237**
Depreciation and Amortization	3538	3267	3243	3247	3591	3828	4078	4200	4080
Capex	(1885)	(1777)	(2202)	(2246)	(2603)	(2661)	(2573)	(2000)	(2040)
as % of revenue	-4%	-4%	-5%	-5%	-6%	-6%	-5%	-4%	-4%
Changes in NWC	(771)	(1519)	(2475)	(1706)	(2020)	(1867)	(1942)	(1500)	(1530)
as % of revenue	-2%	-3%	-6%	-4%	-5%	-4%	-4%	-3%	-3%
Unlevered Free Cash Flow to the Firm	**$9,353**	**$8,226**	**$4,901**	**$5,680**	**$6,598**	**$6,760**	**$7,239**	**$8,606**	**$8,747**

Financial Model — Cash Flow Statement

Valuation

Abbott

Enterprise Value:	
Cumulative PV of Unlevered FCF to the Firm	$31,112.9
Present Value of Terminal Value	$107,793.1
% of Enterprise Value	*77.6%*
Enterprise Value	**$138,906.0**

Terminal (Continuing) Value	
Exit Year Sales	$13,547.1
Exit Multiple EV/EBITDA	11.8
Terminal Value	$159,855.4
Discount Factor	0.67
Implied "g"	**1.8%**

Implied Equity Value	
Enterprise Value	**$138,906.0**
Total Debt	$(14,754.0)
Preferred Stock	$ -
Non-Controlling Interest	$242.0
Cash and Cash Equivalents	$75,547.0
Implied Equity Value (Market Cap)	**$199,941.01**
Fully Diluted Shares Outstanding	1739.9
Implied Price Per Share	**$114.92**

Sensitivity Analysis: Exit EBITDA Multiple

EV/EBITDA Multiple (columns); **WACC** (rows)

$114.92	9.8	10.8	**11.8**	12.8	13.8
6.2%	$109.59	$115.53	$121.47	$127.41	$133.35
7.2%	$106.72	$112.42	$118.11	$123.81	$129.50
8.2%	$103.99	$109.46	**$114.92**	$120.38	$125.84
9.2%	$101.40	$106.64	$111.88	$117.12	$122.36
10.2%	$98.92	$103.95	$108.98	$114.01	$119.04

Valuation

Abbott

	P/E	P/BV	P/OCF	P/FCF	EV/S	EV/EBITDA	EV/EBIT
SYK US	36.02x	6.89x	39.77x	48.45x	6.87x	27.05x	34.73x
BSX US	48.43x	6.08x	46.89x	67.04x	8.68x	35.72x	53.47x
MDT US	21.67x	2.41x	17.24x	23.14x	4.16x	17.41x	26.32x
BDX US	19.56x	2.70x	17.77x	21.76x	4.23x	19.01x	39.48x
TMO US	36.98x	4.94x	25.24x	29.64x	6.16x	24.79x	36.22x
Mean	**32.53x**	**4.60x**	**29.38x**	**38.01x**	**6.02x**	**24.80x**	**38.04x**
Median	**36.02x**	**4.94x**	**25.24x**	**29.64x**	**6.16x**	**24.79x**	**36.22x**
Diff %	**10.72%**	**7.30%**	**14.10%**	**22.01%**	**2.33%**	**0.02%**	**4.79%**

Indirect Valuation	
Metric	**EV/EBITDA**
ABT EBITDA	$10,470
Median Multiple	24.80x
Implied EV	**$259,656**
Less Debt	$14,754
Less minority	$242
Plus Cash	$7,547
Implied Equity Value	**$252,207**
Number of shares	1739.9
Implied Share Price	**$144.95**

Direct Valuation	
Selected Metric	**P/BV**
Book Value per share	$22.60
Median Multiple	4.94x
Implied Share Price	**$111.64**

Risk and Mitigants

Abbott

Risk	Risk Description	Mitigation
Future Growth Slowdown	– Intensifying competition with Boston Scientific, Medtronic, J&J could slow growth, specifically in medical devices – Fx pressures (5.6% China sales exposure) – Potential Medicaid defunding	– Building new automated facilities to streamline CGM (Freestyle Libre) manufacturing – Infiltrate the Pulsed-Field Ablation (PFA) systems market – OTC non-diabetes push via Lingo launch – Partnerships with insulin companies
Trial and Market Penetration Failures	– Sued for misleading nutritional value on infant milk products (~$1.25B–2B loss), yet 60% chance of settlement – Risk of product recalls from quality issues or regulatory non-compliance	– Strategically invest more into a robust R&D pipeline – Potentially increase reserve fund for potential settlements
Dilution from Acquisitions	– Demand for Libre with insulins is rising and relies on large acquisitions to gain share in this segment – GLP-1 disruption in CGM	– Tuck-in M&A with insulin companies to grow organically and boost pricing power – Bigfoot Biomedical ($25mm) strengthens diabetes care via insulin delivery + digital health tools

Recommendation

Abbott

I recommend a **Hold** with a 2-year target price of **$121.61** (32.5% upside)

Valuation Weighting

Method	Target	Weight
Direct	$111.64	25%
Indirect	$144.95	25%
DCF	$114.92	50%
Blended Target Price	**$121.61**	**100%**

Street Estimates

High	$ 160.00
Median	$ 135.00
Low	$ 117.00
Average	$ 137.48
Current Price	$ 140.22

Thesis Recap

Large and Rapidly Growing Addressable Market for Libre will help Abbott capitalize off this opportunity.

Strong Financials and Earnings Despite macroeconomic headwinds and increasing competition, performance shows Abbott's strength and ability to perform during unpredictable times.

Abbott's Expansion into Medical Device and Insulin Market will help Abbott gain market share in PFA systems and dominance in diabetes treatment and monitoring.